Internal Audit Report — Retail Credit Risk Review

Document Title: Internal Audit Report — Retail Credit Origination & Risk Controls
Audit Reference: AUD-2024-003
Case ID: AUD-2024-003
Audited Business Area: IBK Retail Banking — Credit Origination
Audit Scope Period: 1 January 2023 – 31 March 2024
Report Date: 30 June 2024
Internal Audit Lead: Patricia Moore, Senior Auditor
Distribution: CFO, CCO, Head of Retail Banking, Audit Committee
Confidentiality: Strictly Confidential — Internal Only

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1. EXECUTIVE SUMMARY

IBK Internal Audit conducted a full-scope review of the Retail Credit Origination process covering the period 1 January 2023 to 31 March 2024. The audit assessed controls over credit application processing, affordability assessment, KYC documentation, and approval authority limits.

Overall Audit Opinion: Needs Improvement

Finding Severity	Count
Critical	0
High	1
Medium	3
Low	2
Total	6

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2. SCOPE & METHODOLOGY

Item	Details

Population Tested	342 retail loan applications (approved and declined) — Jan 2023 to Mar 2024
Sample Size	85 files (stratified random sample — 25% of population)
Testing Methods	Document review, system walkthrough (FLEX LOS), management interviews, data analytics
Standards Applied	IBK Credit Policy Manual v2022; CRR Article 79; EBA Guidelines on Loan Origination (EBA/GL/2020/06)

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3. FINDINGS

Finding 1 — HIGH — Incomplete Income Verification on 18% of Sample Files

Field	Details
Finding ID	AUD-2024-003-F01
Severity	High
Description	15 of 85 files reviewed (17.6%) did not contain a third-party income verification document (payslip, employer letter, or tax return) at the time of loan approval. IBK Credit Policy §4.2 requires income verification for all loans > EUR 5,000.
Root Cause	Manual workaround in FLEX LOS allowing override of the mandatory document checklist when a verbal income declaration was obtained by the adviser.
Potential Impact	Regulatory non-compliance (EBA/GL/2020/06 §96–98); increased credit risk exposure; potential mis-selling risk.

Management Response	Head of Retail Banking: "We accept the finding. FLEX LOS will be updated to remove the manual override. Retrospective review of affected files to be completed by 31 August 2024."
Target Remediation Date	31 August 2024
Remediation Owner	Thomas Weber, Head of Retail Credit

Finding 2 — MEDIUM — Approval Authority Limits Exceeded (3 Cases)

Field	Details
Finding ID	AUD-2024-003-F02
Severity	Medium
Description	3 loans (aggregate EUR 186,000) were approved by Branch Advisers outside their delegated authority (individual limit EUR 50,000). Dual approval from the Regional Credit Manager was not obtained.
Root Cause	Absence of automated authority limit enforcement in FLEX LOS for joint applications (where individual and co-applicant amounts are assessed separately).
Management Response	Accepted. System fix and immediate retraining of Branch Advisers to be completed by 30 September 2024.
Target Remediation Date	30 September 2024

Finding 3 — MEDIUM — KYC Refresh Overdue on 22% of Active Borrowers

Field	Details
Finding ID	AUD-2024-003-F03
Severity	Medium
Description	19 of 85 active borrower files reviewed had KYC review dates that were overdue by more than 6 months (up to 14 months overdue). IBK AML Policy §3.4 requires Standard CDD refresh every 3 years.
Root Cause	No automated trigger in the KYC management system to alert RMs when refresh is approaching.
Management Response	Accepted. CRM system to be updated with automated reminder workflow by 31 October 2024.
Target Remediation Date	31 October 2024

Finding 4 — MEDIUM — Property Valuation Reports Not Filed for 8% of Mortgage Files

Field	Details
Finding ID	AUD-2024-003-F04
Severity	Medium
Description	7 of 85 mortgage files did not contain a final valuation report — only a preliminary estimate was on file. IBK Mortgage Policy §7.1 requires the final signed valuation to be filed prior to first drawdown.
Management Response	Accepted. Retrospective filing and process re-training underway.

Target Remediation Date	15 August 2024

4. SUMMARY REMEDIATION PLAN

Finding	Owner	Target Date	Status
F01 — Income verification control	Thomas Weber	31 Aug 2024	Open
F02 — Approval limits system fix	Thomas Weber	30 Sep 2024	Open
F03 — KYC refresh automation	Marco Belli, CRM Lead	31 Oct 2024	Open
F04 — Mortgage valuation filing	Retail Operations	15 Aug 2024	Open

5. AUDIT OPINION

Based on the work performed, IBK Internal Audit issues a "Needs Improvement" opinion for Retail Credit Origination. No Critical findings were identified. The High finding (F01) represents a material control gap relative to regulatory requirements and must be remediated as a priority. Internal Audit will follow up on all outstanding actions by 31 October 2024 and report status to the Audit Committee.

6. SIGN-OFF

Role	Name	Date
Audit Lead	Patricia Moore, Senior Internal Auditor	28 June 2024
Head of Internal Audit	William Grant, CAE	30 June 2024

Report Issued To	CFO, CCO, Head of Retail Banking, Audit Committee	1 July 2024

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